Similarly, if shares or equity MFs are held for more than 12 months before selling, the gain arising is classified as Long-Term Capital Gain. In the case of long-term capital gain arising out of the sale of shares or equity mutual funds, there is 0% capital gains tax. The main reason for zero tax is the concept of double taxation.

Since the tax is zero for long-term gains, we need not worry much about the impact of inflation on these taxes.

Similarly, in case of real estate, if the capital asset is held for less than 36 months before selling, the gain arising from it is classified as short-term capital gain. This short-term capital gain is clubbed with your income for the year, and is taxed at a rate as per the applicable tax slabs/brackets. This is true even for shares or equity mutual funds sold "off market". So, if you sold your house within 36 months of buying the same, all the difference between the purchase price and selling price of that house is considered as a part of your income and would be taxed as per the applicable tax slabs and rates. At the highest tax bracket, it can be as high as 30%

If the capital asset is held for more than 36 months before selling, the gain arising from the sale, is classified as long-term capital gain. In this case, 20% of the long-term capital gain has to be paid as capital gains tax.

Since the income tax on long-term capital gains can be adjusted for cost inflation, the purchase price that needs to be used for calculating the long-term capital gains has to be matched with the equivalent price for the year in which the asset is being sold.

Such an adjusted purchase price is called the "Indexed Cost of Acquisition" and is detailed in Formula 4.

Formula 4

$$\textbf{Indexed Cost of Aquisition} = \text{Actual Purchase Price} \times \frac{\text{(CII during Sale Year)}}{\text{(CII during Purchase Year)}}$$